

macro event or change in the operating environment might put this segment to the test. These situations might not necessarily be captured in stress test modules, and these mainly focus on interest rate changes,” says Sanjay Agarwal, Senior Director, CareEdge Ratings.

Agarwal, however, believes that management overlays and early-warning triggers tied to inflation, employment, and district-level absorption could act as mitigating factors. “The highest risk is observed among thin-file, cash-income self-employed borrowers, particularly when income is overstated. Loans linked to under-construction properties from weaker developers also pose elevated risk. In some rapidly appreciating micro-markets, stretched affordability may be obscured,” says Jain.

According to experts, the risk could also vary by size, particularly for fintech players and new-age NBFCs that prioritise short-term, high-growth opportunities fuelled by private equity capital. There is also a geographic risk, as some prefer a particular region in terms of business. Aavas Financiers, for instance, has a dominant presence in Rajasthan, Gujarat, and Madhya Pradesh, while Shubham Housing has a strong presence in north India. Similarly, some are focusing on very low-ticket size loans.

“Platform-based fintechs typically generate revenue through origination and servicing fees, relying on partnerships with lenders for funding. While this model allows for rapid scaling up, it is sensitive to fluctuations in lender appetite. A hybrid approach is increasingly seen as more sustainable,” says Gopal Jain, MD & CEO, Gaja Capital.

Similarly, for older, well-established players, building a new architecture for underwriting afford-

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